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Strategic Trading Analysis

Based on the detailed technical and fundamental report provided for **VBL.NS (Varun Beverages Ltd)** as of the generated date 2026-02-21, here is my positional trading analysis.

Step 1: Audit the Data

- **Data Present:**
  - **Price Structure:** Daily and Weekly candlestick charts with EMA overlays (20, 50, 200).
  - **Trend Indicators:** Supertrend, MACD, Moving Average summaries.
  - **Momentum/Volatility:** RSI (14), Bollinger Bands, Volatility Squeeze analysis.
  - **Volume:** Volume moving averages, Distribution/Accumulation count.
  - **Fundamentals:** Multi-year and quarterly comparisons (Revenue, Net Income, ROE).
  - **Relative Strength:** Comparison against the FMCG sector and benchmark indices.
- **Data Missing:**
  - **Fibonacci Retracement Levels:** Specific support/resistance ratios are not explicitly drawn, though visual estimation is possible.
  - **Option Chain Data:** No Open Interest (OI) analysis to identify derivative hedging levels.
- **Confidence Level: High.** The report provides a comprehensive technical suite covering trend, momentum, and volume, sufficient for intermediate-term decision-making.

Step 2: Analyze the Setup

- **Trend Direction (Bearish):** The stock is in a confirmed **Strong Downtrend**. Price (453.85) is trading below all key Exponential Moving Averages (20 EMA @ 460, 50 EMA @ 468, 200 EMA @ 483). The slope of the 20 and 50 EMAs is negative.
- **Price Structure:** The stock has corrected significantly from highs near 670. It is currently consolidating in a tight range (Bollinger Band width 0.09) near the lower band. While a "Volatility Squeeze" is detected, squeezes in a downtrend often result in trend continuation (downwards) unless proven otherwise.
- **Momentum (Weak):** RSI is at 43.11, indicating bearish control but not yet oversold. The MACD is deep below the zero line; although the histogram shows a minor bullish crossover, it lacks strong momentum.
- **Volume & Supply:** The report flags multiple **"Distribution Days"** in late Jan/Feb 2026, indicating institutional selling. The "Candlestick Classification" shows "No Control" or seller dominance.
- **Fundamental Caution:** The short-term fundamentals are alarming with an **80.88% drop in Net Income QoQ**. This fundamental deterioration validates the technical downtrend.
- **Relative Strength:** RS Score is 49/100. The stock is underperforming the Nifty FMCG sector.

Conclusion on Setup: There is **no confluence** for a long trade at the current market price. The stock is a "falling knife" technically and fundamentally weak in the short term. Overhead resistance is heavy between 460 and 485.

Step 3: Formulate the Recommendation

Recommendation: NO. Do not enter this stock at the current price (453.85).

Reasoning: Entering now violates the primary rule of positional trading: *Don't buy below key resistance in a downtrend.* The stock is trading below its 200-day moving average, and short-term moving averages are

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acting as dynamic resistance. The fundamental earnings miss adds significant downside risk.

Conditional Plan (Watchlist Only):I would only consider a long position if the stock proves a structural reversal by reclaiming key moving averages and absorbing the supply overhead.

- **Condition to Buy:** The stock must close convincingly above the **200 EMA** and the **Supertrend** resistance. This clears the "traffic" overhead and shifts the trend from bearish to neutral/bullish.
- **Entry Price: INR 486.00** (This requires a breakout above the 200 EMA at ~483.90 and the Upper Bollinger Band).
- **Stop Loss: INR 455.00** (A close back below the recent consolidation zone and EMA 20).
- **Take Profit: INR 545.00** (Previous structural resistance/consolidation zone, offering a ~12% upside).

Candlestick Classification Analysis

As a seasoned Candlestick Trader applying the specific **Candlestick Classification System** provided in the report, here is my detailed analysis of the VBL.NS price action.

Executive Summary: Bearish Pause in a Strong Downtrend

The market is currently in a state of **indecision (No Control)** following a violent sell-off. While the immediate selling pressure has abated, there is a distinct lack of "Buyer Strong Control" signals required to reverse the trend. The probability favors a continuation of the downtrend after this consolidation phase.

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1. Current Market State: "No Control" (Score: 0)

Ref: Page 20 & 21

The latest candlestick classification is **"No Control"**, and the 10-day average trend score is a negligible **0.10**.

- **Interpretation:** The "No Control" classification (Grey candles on the chart) indicates that daily price ranges are shrinking relative to the ATR (Average True Range). Neither bulls nor bears are achieving a close significantly far from the open, and wicks are likely appearing on both sides.
- **Psychology:** After the sharp decline seen in late January 2026, the market is catching its breath. Sellers are taking profits, but buyers are too hesitant to step in aggressively. This is a classic "drift," not a "drive."

2. Statistical Dominance: Sellers Own the Trend

Ref: Page 20 (Distribution Stats)

The distribution data reveals the structural weakness of the stock:* **Seller Control (63) vs. Buyer Control (41):** Sellers have controlled 50% more days than buyers over the analyzed period.* **Buyer Strong Control (+2): Only 5 instances.** This is the most damning statistic. In the entire dataset, buyers have only managed to register a high-volume, wide-range bullish expansion 5 times. Without "Step 4: Volume Multiplier" kicking in for buyers, meaningful accumulation is absent.* **Dominant Classification:** "No Control" (118) is the most frequent state, indicating this stock spends most of its time chopping sideways, but when it breaks, it breaks in favor of the sellers.

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3. Price Action & Volume Analysis (The Chart Narrative)

Ref: Page 21

Looking at the visual progression on the chart:

The Capitulation Event (Late Jan 2026): There is a massive **Red Candle** with an enormous volume spike (visible in the bottom panel).

- **Algorithm Check:** This candle likely scored a **-2 (Seller Strong Control)**. The body size was >1.5 ATR (Step 1), closing near the low (Step 2), with volume >1.3x average (Step 4 multiplier).
- **Significance:** This changed the character of the market. Institutional money exited aggressively here. This candle created a "supply zone" overhead that will be very hard to break.

The Rejection (Early Feb 2026): Following the drop, there were attempts to rally (pale green candles), but they were immediately met with Red "Seller Control" candles. The absence of Dark Green (Buyer Strong Control) candles during this bounce attempt confirms it was a "dead cat bounce" or weak retracement.

Current Consolidation (Mid-Feb 2026): The chart ends with a series of Grey "No Control" candles. The volume on these days is tapering off (low volume penalizes the score in Step 4).

- **Trader's View:** Low volume consolidation *below* a major breakdown level is a bearish flag. It implies the market is accepting the lower prices.

4. Future Price Prediction

Based on the algorithm's logic-where trend reversals require conviction (Body + Close + Volume)-the outlook is **Bearish**.

- **Direction: Downside Continuation.**
- **Rationale:**
  - A trend score of **0.10** is insufficient to arrest a strong downtrend. It represents a pause, not a pivot.
  - To turn bullish, we would need to see a **Buyer Strong Control (+2)** candle: a wide-range green bar closing near the high with volume exceeding the average. Until that appears, the path of least resistance is down.
  - The "No Control" clusters usually resolve in the direction of the prior trend. Since the prior trend was a sharp drop (Seller Strong Control), the breakdown is the higher probability event.

Trading Strategy:* **Resistance:** The top of the recent grey candle cluster (approx. INR 465-470).* **Target:** A retest of the recent lows (approx. INR 435) and likely a breakdown toward INR 420.* **Invalidation:** A daily close classified as "Buyer Control" or "Buyer Strong Control" above INR 475.

News & Analyst Targets

Date: February 21, 2026**Subject:** Weekly Stock Research Report - Varun Beverages Ltd (VBL)

Here is the latest research and market intelligence on Varun Beverages Ltd (VBL) for the week ending

Stock Analysis Report

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February 21, 2026.

1) Latest News for VBL This Week

- **Analyst divergence creates volatility:** The most significant development this week was a clash in analyst sentiment. While **Motilal Oswal** reiterated its confidence in the stock on Feb 18, **MarketsMojo** downgraded the stock to 'Sell' on Feb 17, citing technical weakness.
- **Surge in Derivatives Activity:** On Feb 20, VBL witnessed a sharp **11.4% increase in Open Interest (OI)** in its derivatives segment. This suggests a buildup of significant positions (potentially short or hedging positions given the price weakness), indicating heightened volatility ahead.
- **Stock Underperformance:** The stock has remained under pressure this week, trading below all key moving averages (50-day, 200-day). It is currently down ~8% YTD in 2026, following a 23% correction in 2025.
- **African Expansion Update:** VBL confirmed it is on track to complete the acquisition of South African firm **Twizza** by June 30, 2026. Additionally, the company announced plans to begin construction of a new mega-production facility in **Kenya** in Q1 2026, with commissioning targeted for late 2027.

2) Brokerage Upgrades & Downgrades

- **Downgrade (MarketsMojo - Feb 17, 2026):** Downgraded VBL from **Hold** to **Sell**.
  - *Rationale:* Deteriorating technical indicators, expensive valuation (Price-to-Book ~7.9x), and flat recent financial trends.
- **Reiteration (Motilal Oswal - Feb 18, 2026):** Reiterated **BUY** rating.
  - *Rationale:* They view Africa as the "next scalable growth engine" and expect double-digit domestic volume growth in CY26. They believe the company's premiumization and capacity investments will drive a 16% PAT CAGR over CY25-27.
- **Initiation (Investec - Jan 14, 2026):** Initiated coverage with a **BUY** rating earlier this year, which remains active.

3) Indirect News & Impact

- **Sector Headwinds:** The broader FMCG and beverage sector in India is currently grappling with "valuation fatigue" and concerns over rural demand recovery. VBL's premium valuation leaves it vulnerable to these sector-wide de-rating trends.
- **Competitive Intensity:** Reports indicate intensifying competition from **Coca-Cola India**, which has been aggressive with pricing and distribution in VBL's core territories, potentially capping margin expansion in the near term.
- **Weather Watch:** After weather-related disruptions impacted growth in mid-2025, the market is closely monitoring early summer forecasts for 2026. A strong summer is critical for VBL to meet the double-digit volume growth targets set by bulls like Motilal Oswal.

4) Latest Analyst Targets (2026)

Brokerage / Analyst Firm	Rating	Target Price (INR)	Date of Report	Notes
JM Financial	Buy	INR 570	Oct 31, 2025	Target rolled forward; sees 20% upside.
Investec	Buy	INR 569	Jan 14, 2026	Initiated coverage; focused on capex benefits.

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Brokerage / Analyst Firm	Rating	Target Price (INR)	Date of Report	Notes
Motilal Oswal	Buy	INR 550	Feb 18, 2026	Based on 45x CY27E EPS; bullish on Africa.
TradingView Consensus	Strong Buy	INR 563	Feb 20, 2026	Aggregated consensus from ~25 analysts.
Alpha Spread	N/A	INR 610	Feb 2026	Algo-based valuation model (Base case).
MarketsMojo	Sell	N/A	Feb 17, 2026	Downgrade based on technicals/valuation.

Summary View: The consensus target implies an upside of approximately **20-25%** from current levels (~INR 455). However, short-term technicals are bearish, and the divergence between fundamental "Buy" ratings and technical "Sell" signals suggests a cautious approach for immediate traders.

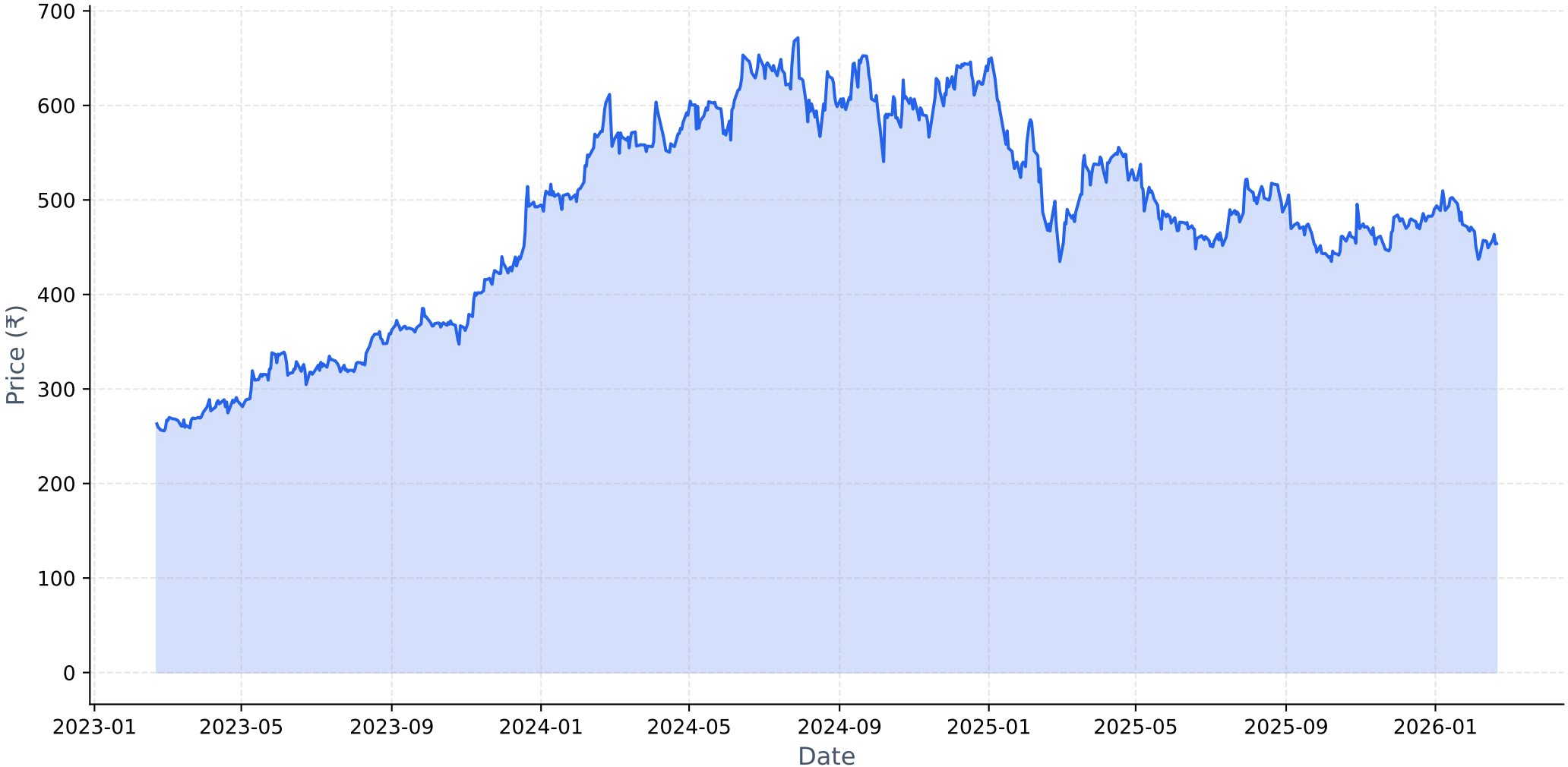
Stock Detailed Analysis Report

VBL.NS

Current Price: ₹453.85

Generated: 2026-02-21 09:19

VBL.NS - 3 Year Daily Price Chart



Long-term Fundamental Analysis (4 Years)

Metric	Is Growing?	Accelerating?	1Y Growth	3Y CAGR
Revenue	Yes	No	8.39%	18.84%
Net Income	Yes	No	17.03%	26.57%
ROE	No	Yes	-0.72%	-19.15%
EPS	Yes	No	25.59%	54.92%

Short-term Fundamental Analysis (6 Quarters)

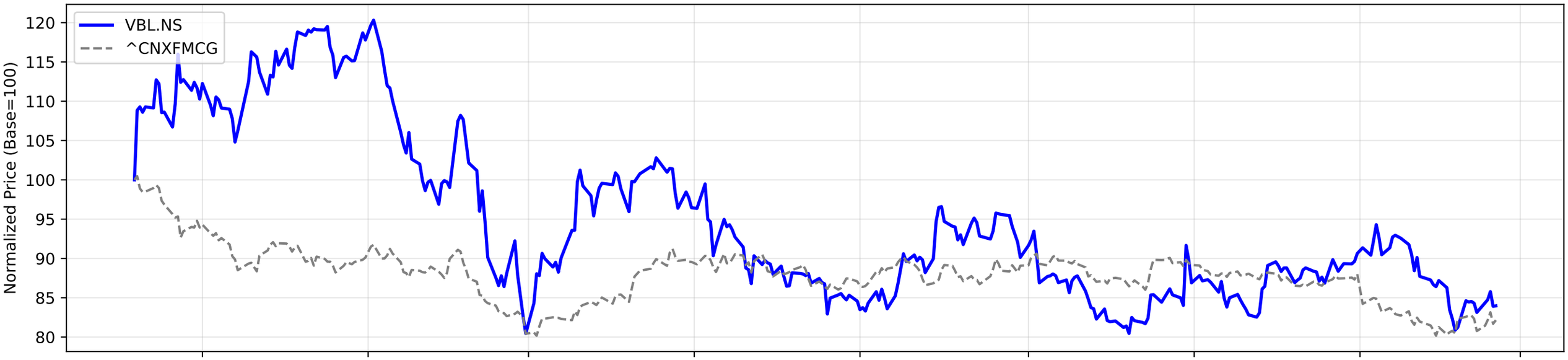
Metric	Is Growing?	Recent QoQ	Avg QoQ
Revenue	Yes	-40.09%	3.41%
Net Income	Yes	-80.88%	55.67%
ROE	Yes	-82.07%	230.67%
EPS	Yes	-80.98%	53.30%

VBL.NS - Relative Strength Analysis

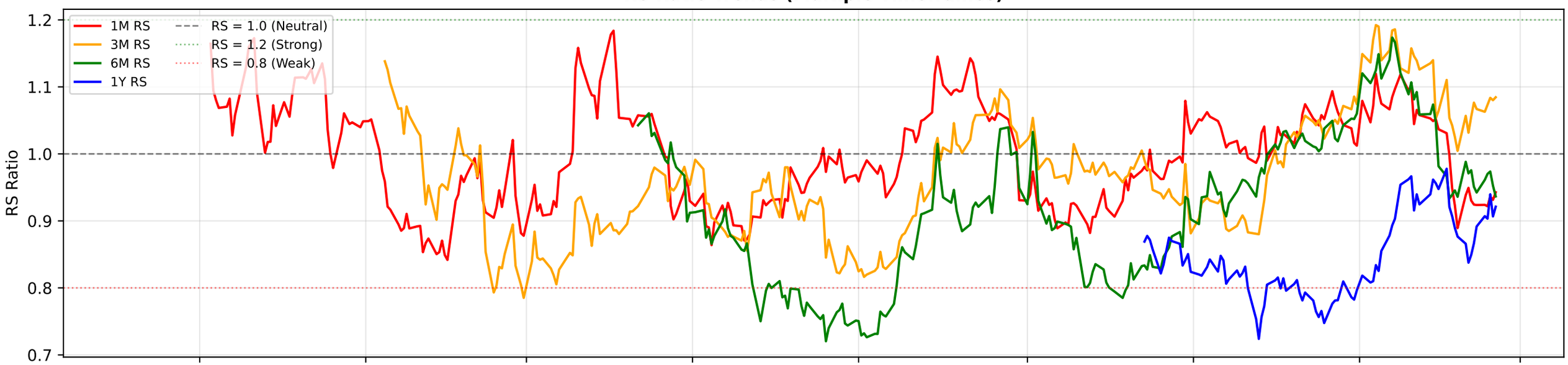
═══ OVERVIEW ═══:	
Benchmark Index:	^CNXFMCG
Sector:	FMCG
Classification:	**Weakening Leader**
RS Score:	49.0/100
:	
═══ RS RATIOS ═══:	
1M RS:	**0.943 [Neutral]**
3M RS:	**1.085 [Leader]**
6M RS:	**0.937 [Neutral]**
1Y RS:	**0.921 [Neutral]**
:	
═══ TURNAROUND ANALYSIS ═══:	
Turnaround Status:	**Not Detected**
:	
SIGNAL CRITERIA::	
✗ **Emerging RS:**	**Not accelerating**
✓ **Medium-term Lagging:**	6M=0.937, 1Y=0.921 (≤1.0)
✓ **Performance Improving:**	3M (+0.5%) > 6M (-10.2%)

Relative Strength Analysis: VBL.NS vs ^CNXFMCG
Classification: Weakening Leader

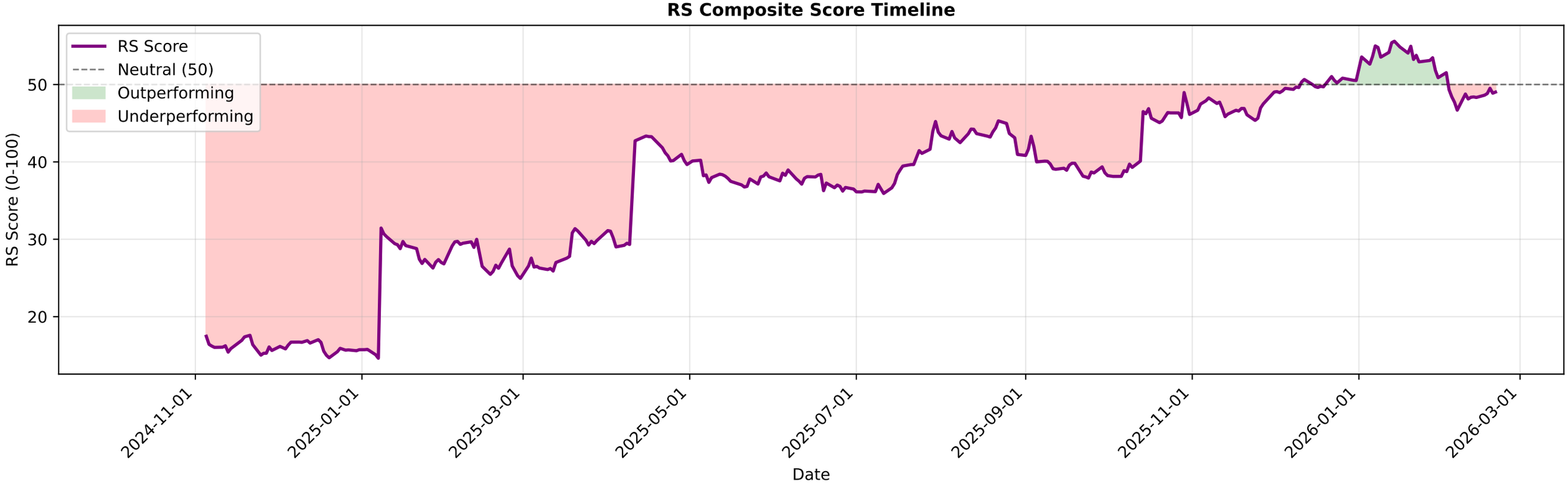
Price Performance Comparison (Normalized)



RS Ratio Trends (Multiple Timeframes)

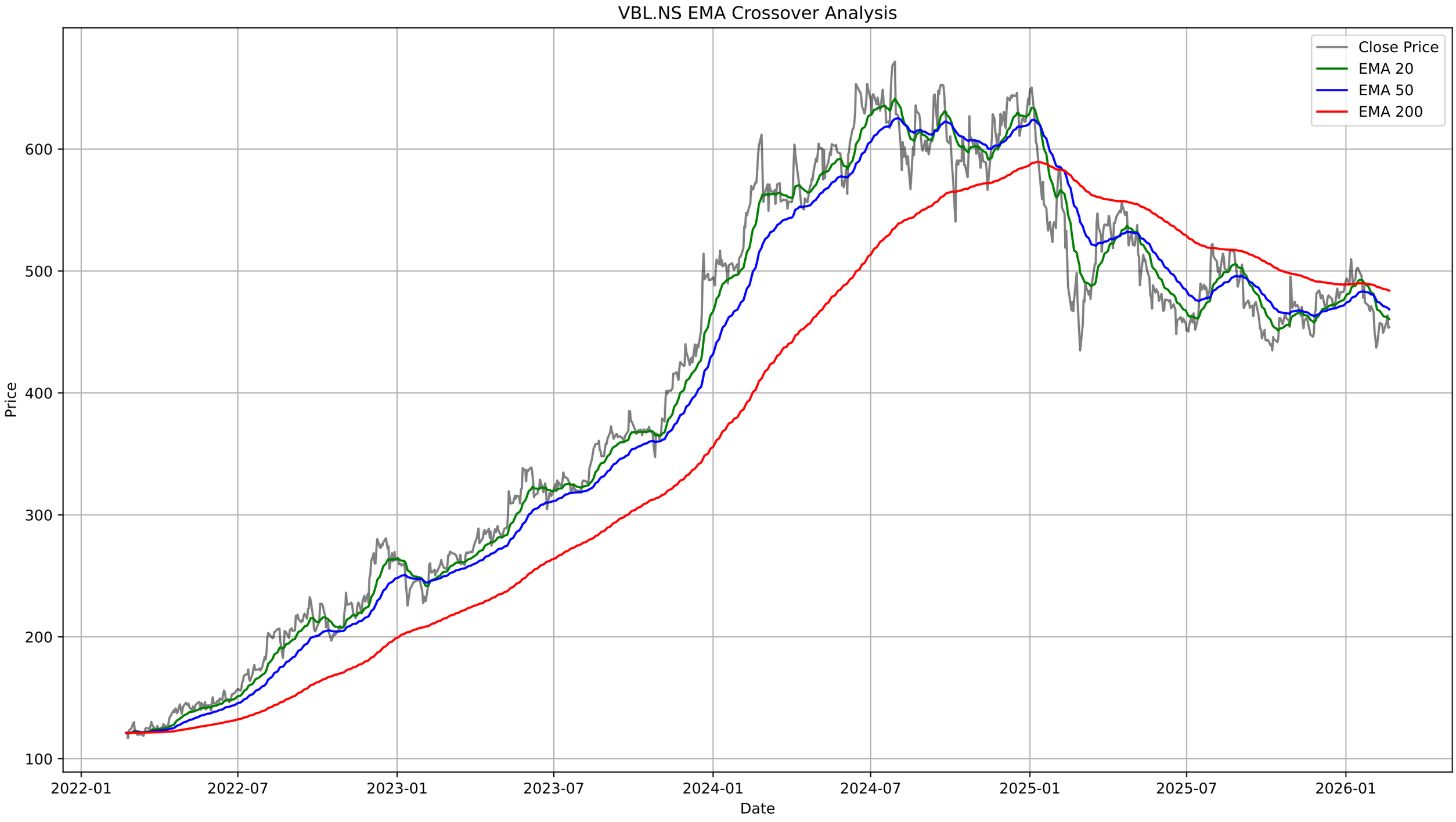


RS Composite Score Timeline



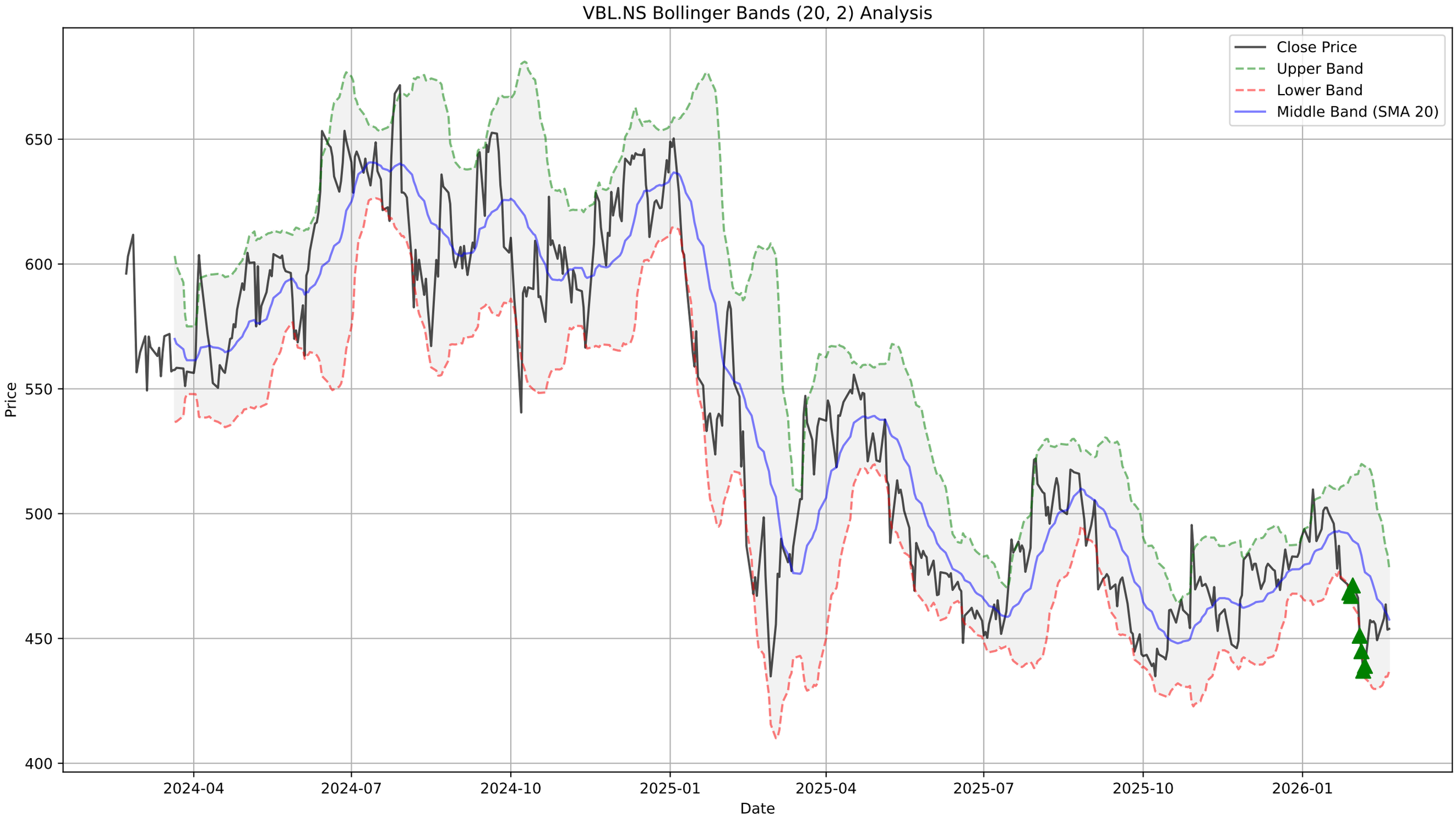
VBL.NS - EMA Crossover Summary

EMA 20:	460.57
EMA 50:	468.58
EMA 200:	483.90
Trend Status:	**Strong Downtrend**


VBL.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
Price
600
500
400
300
200
100
2022-01
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01
Date

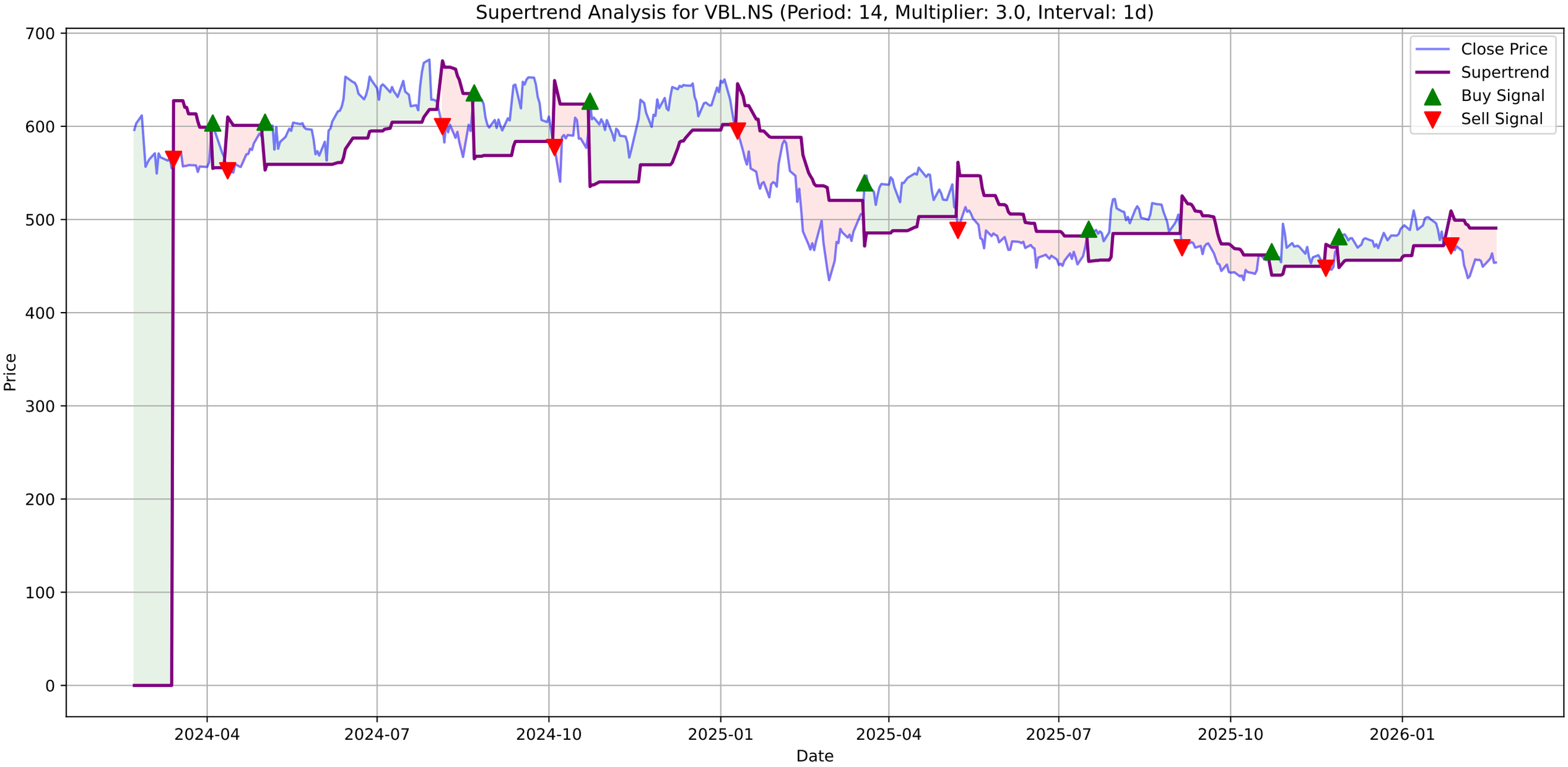
VBL.NS - Bollinger Bands Summary

Current Price:	453.85
Upper Band:	478.35
Middle Band (SMA 20):	457.58
Lower Band:	436.80
%B:	0.4103
Band Width:	0.0908
Status:	Lower Half
Signal:	None
Recent Signal 1:	**Buy Signal at 2026-02-04 00:00:00+05:30**
Recent Signal 2:	**Buy Signal at 2026-02-05 00:00:00+05:30**
Recent Signal 3:	**Buy Signal at 2026-02-06 00:00:00+05:30**


VBL.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
650
600
550
500
450
400
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Date

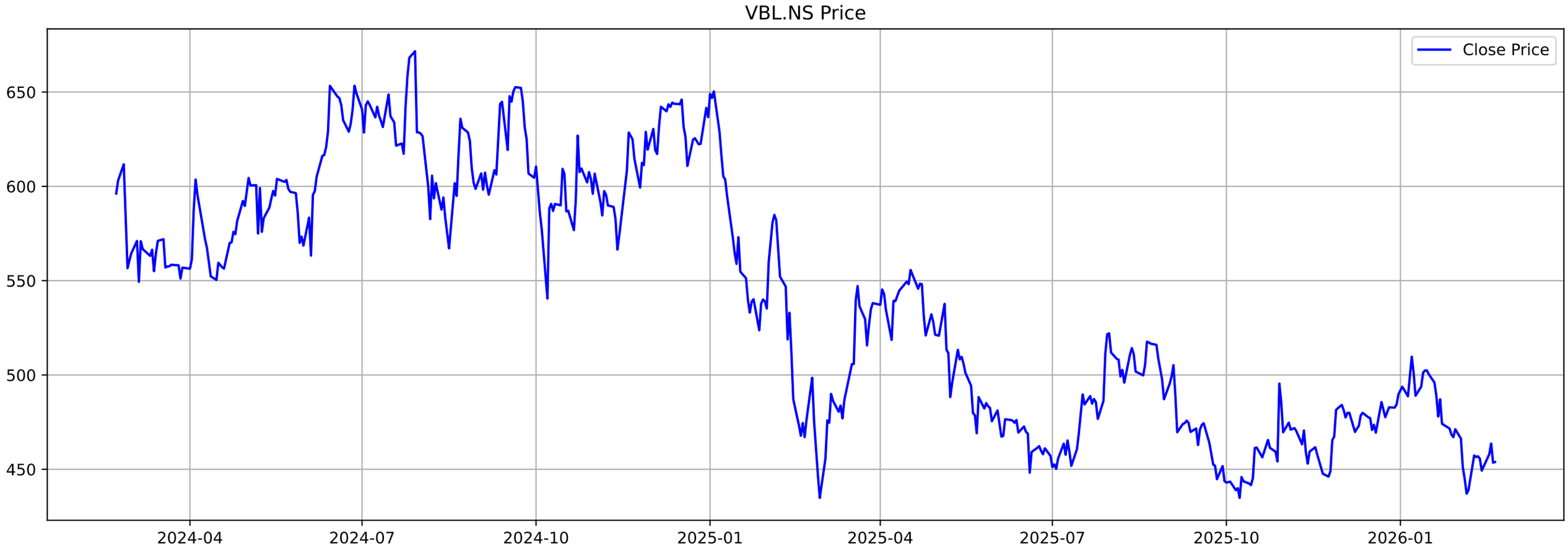
VBL.NS - Supertrend Summary

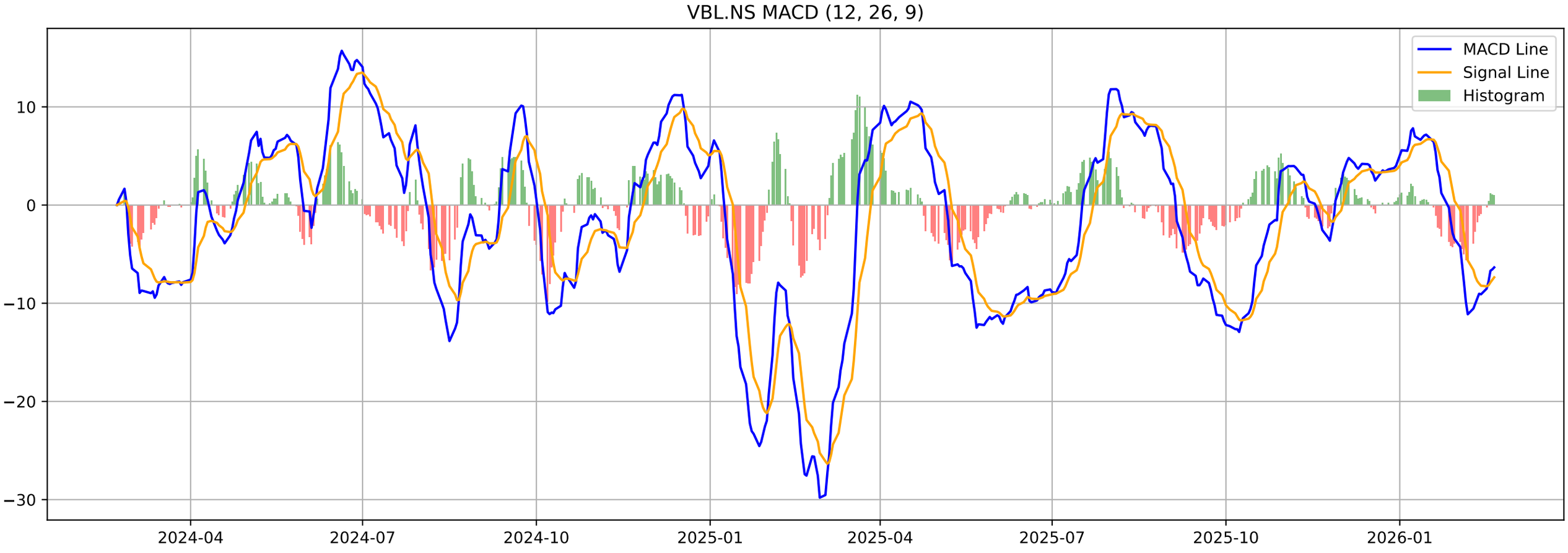
Status:	**DOWNTREND (Sell)**
Supertrend Value:	490.81
Signal Identified On:	2026-01-27


Supertrend Analysis for VBL.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Close Price
Supertrend
Buy Signal
Sell Signal
Price
Date
700
600
500
400
300
200
100
0
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

VBL.NS - MACD Summary

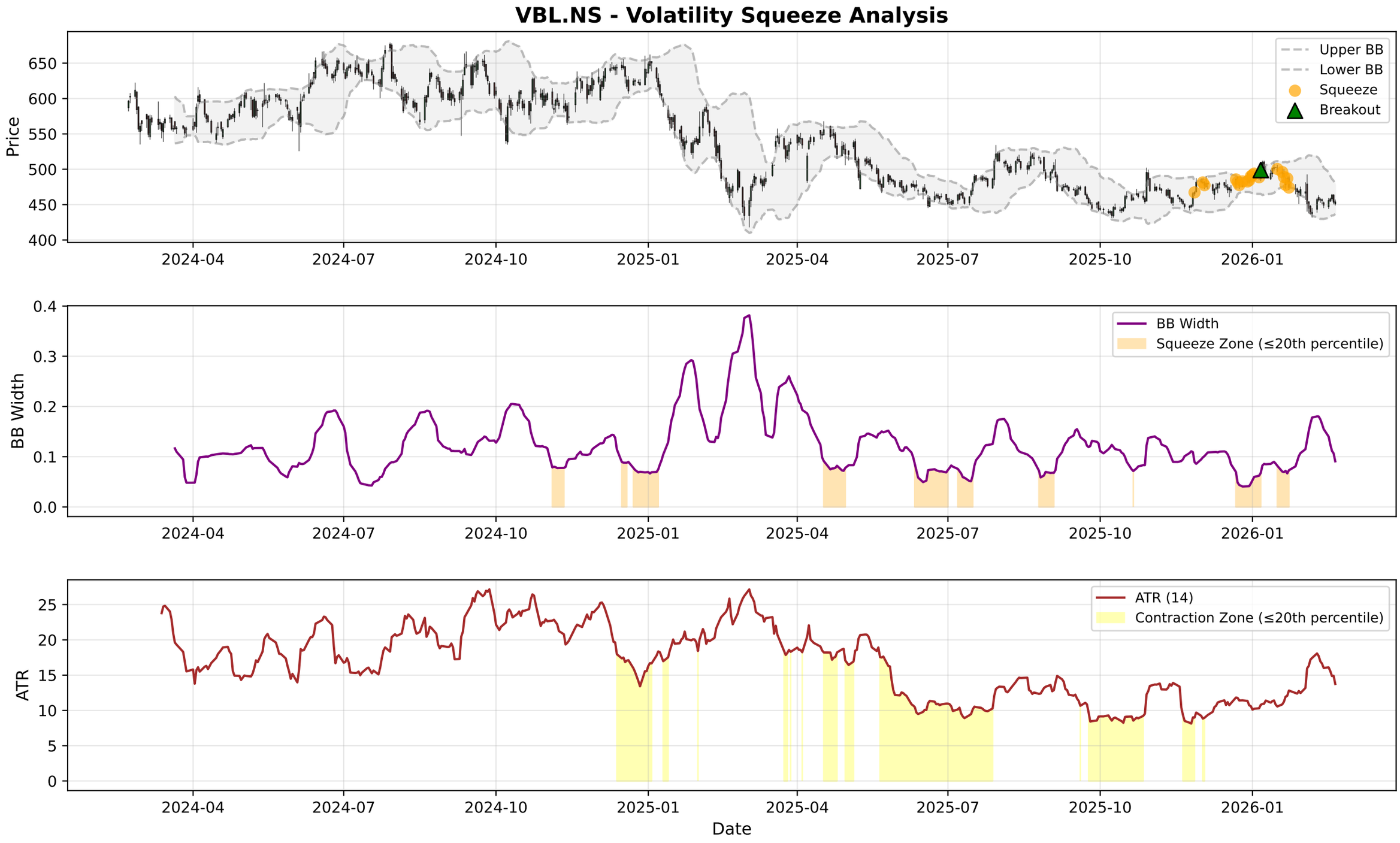
MACD Line:	-6.35
Signal Line:	-7.36
Histogram:	1.01
Trend:	**Bullish**
Momentum:	**Weakening**
Signal:	None


VBL.NS Price
Close Price
650
600
550
500
450
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01


VBL.NS MACD (12, 26, 9)
MACD Line
Signal Line
Histogram
10
0
−10
−20
−30
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

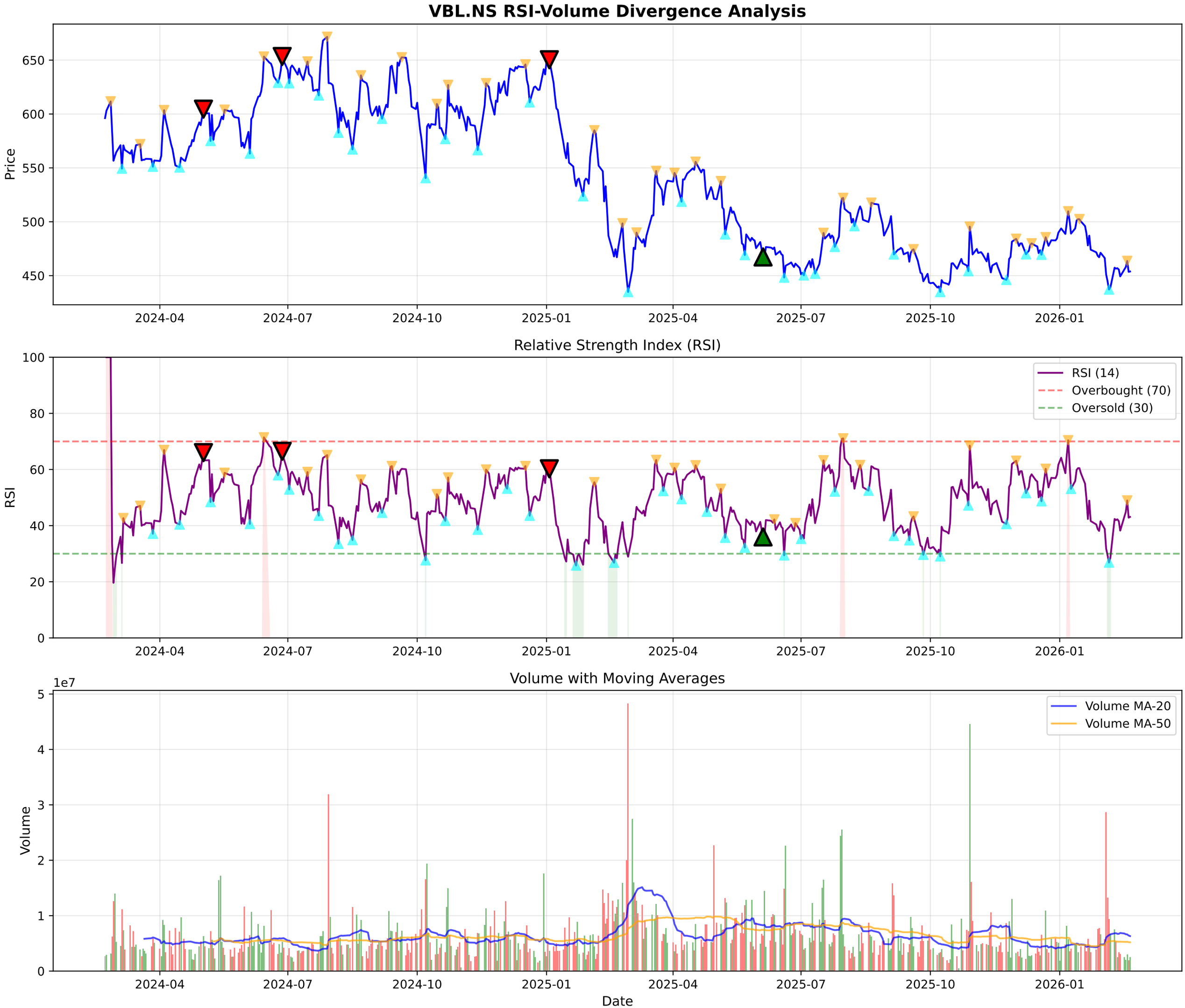
VBL.NS - Volatility Squeeze Summary

BB Width:	0.0908
ATR:	13.7500
Total Signals:	20
Signal 1:	BB Squeeze at 2026-01-19 00:00:00+05:30 (Price: 496.00)
Signal 2:	BB Squeeze at 2026-01-20 00:00:00+05:30 (Price: 489.10)
Signal 3:	BB Squeeze at 2026-01-21 00:00:00+05:30 (Price: 478.00)
Signal 4:	BB Squeeze at 2026-01-22 00:00:00+05:30 (Price: 487.10)
Signal 5:	BB Squeeze at 2026-01-23 00:00:00+05:30 (Price: 474.10)


VBL.NS - Volatility Squeeze Analysis
Price
Upper BB
Lower BB
Squeeze
Breakout
BB Width
BB Width
Squeeze Zone (≤20th percentile)
ATR
ATR (14)
Contraction Zone (≤20th percentile)
Date
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

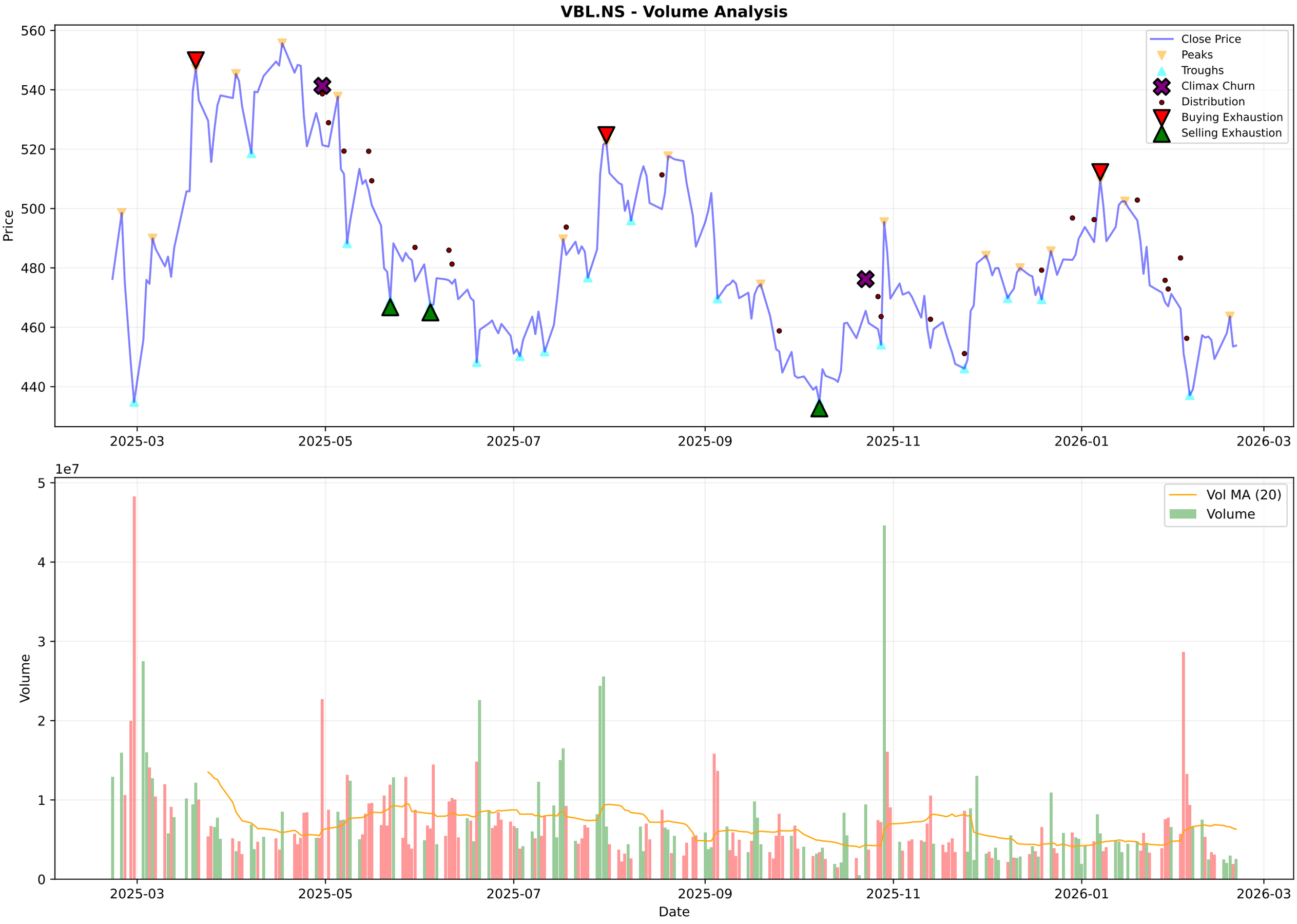
VBL.NS - RSI-Volume Summary

Current RSI:	43.11
Current Volume:	2521212
Volume MA 20:	6318530
Bullish Divergences:	1
Bearish Divergences:	3
Bullish Div 1:	Date: 2025-06-04 00:00:00+05:30, Price: 467.35
Bearish Div 1:	Date: 2024-06-27 00:00:00+05:30, Price: 653.37
Bearish Div 2:	Date: 2025-01-03 00:00:00+05:30, Price: 650.34


VBL.NS RSI-Volume Divergence Analysis
Price
650
600
550
500
450
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Relative Strength Index (RSI)
RSI
100
80
60
40
20
0
RSI (14)
Overbought (70)
Oversold (30)
Volume with Moving Averages
1e7
Volume
5
4
3
2
1
0
Volume MA-20
Volume MA-50
Date

VBL.NS - Volume Analysis

═══ VOLUME ANALYSIS ═══:	
Status:	**31 Signals Detected**
:	
2026-01-19 [-]:	Distribution Day
2026-01-28 [-]:	Distribution Day
2026-01-29 [-]:	Distribution Day
2026-02-02 [-]:	Distribution Day
2026-02-04 [-]:	Distribution Day


VBL.NS - Volume Analysis
Price
Close Price
Peaks
Troughs
Climax Churn
Distribution
Buying Exhaustion
Selling Exhaustion
560
540
520
500
480
460
440
2025-03
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
1e7
Volume
Vol MA (20)
Volume
5
4
3
2
1
0
Date

VBL.NS - Candlestick Classification Summary

═══ CANDLESTICK CLASSIFICATION ═══:	
Latest Classification:	**No Control**
Recent Trend Score (10-day avg):	0.10
:	
Distribution:	
No Control:	118
Seller Control:	63
Buyer Control:	41
Buyer Strong Control:	5
Seller Strong Control:	1

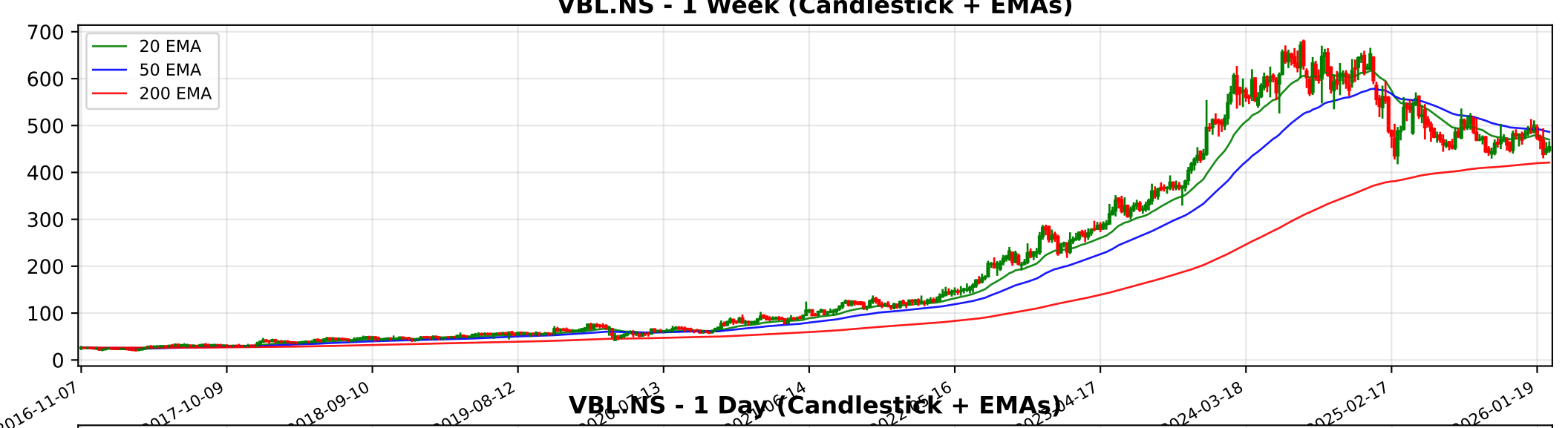
VBL.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
520
500
480
460
440
1e7
Volume
4
3
2
1
0
2025-06-05
2025-07-01
2025-07-25
2025-08-21
2025-09-17
2025-10-14
2025-11-11
2025-12-05
2026-01-01
2026-01-28
Date

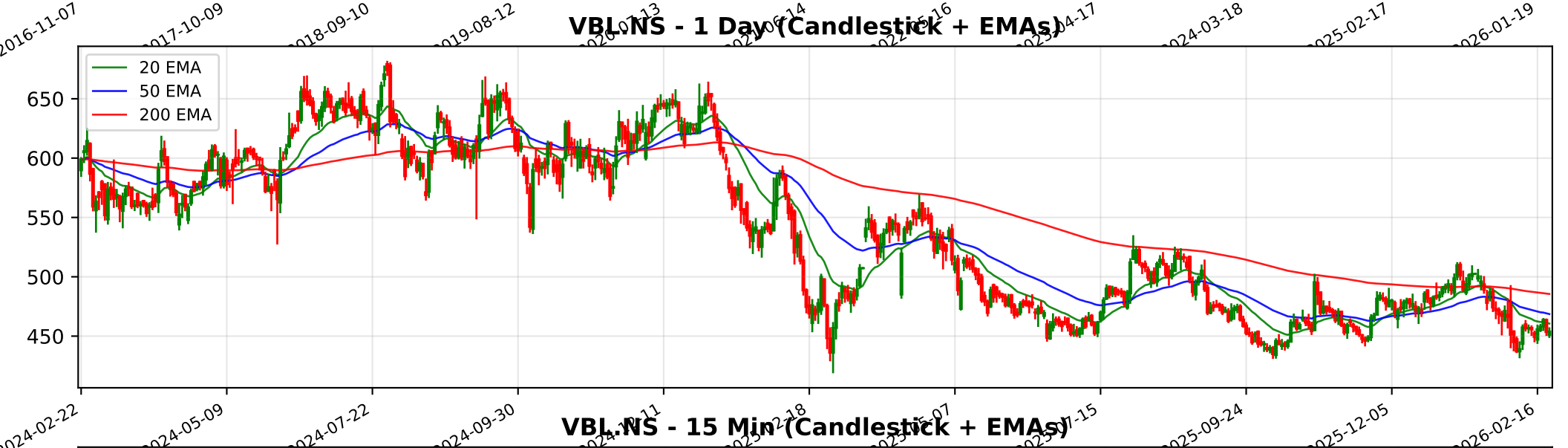
Multi-Timeframe Supertrend Analysis

Timeframe	Status	Value	Last Price	Signal Date
1 Week	**DOWNTREND (Sell)**	510.34	453.85	2026-02-02
1 Day	**DOWNTREND (Sell)**	490.81	453.85	2026-01-27
15 Min	**DOWNTREND (Sell)**	456.19	453.25	2026-02-19

Multi-Timeframe MACD Analysis

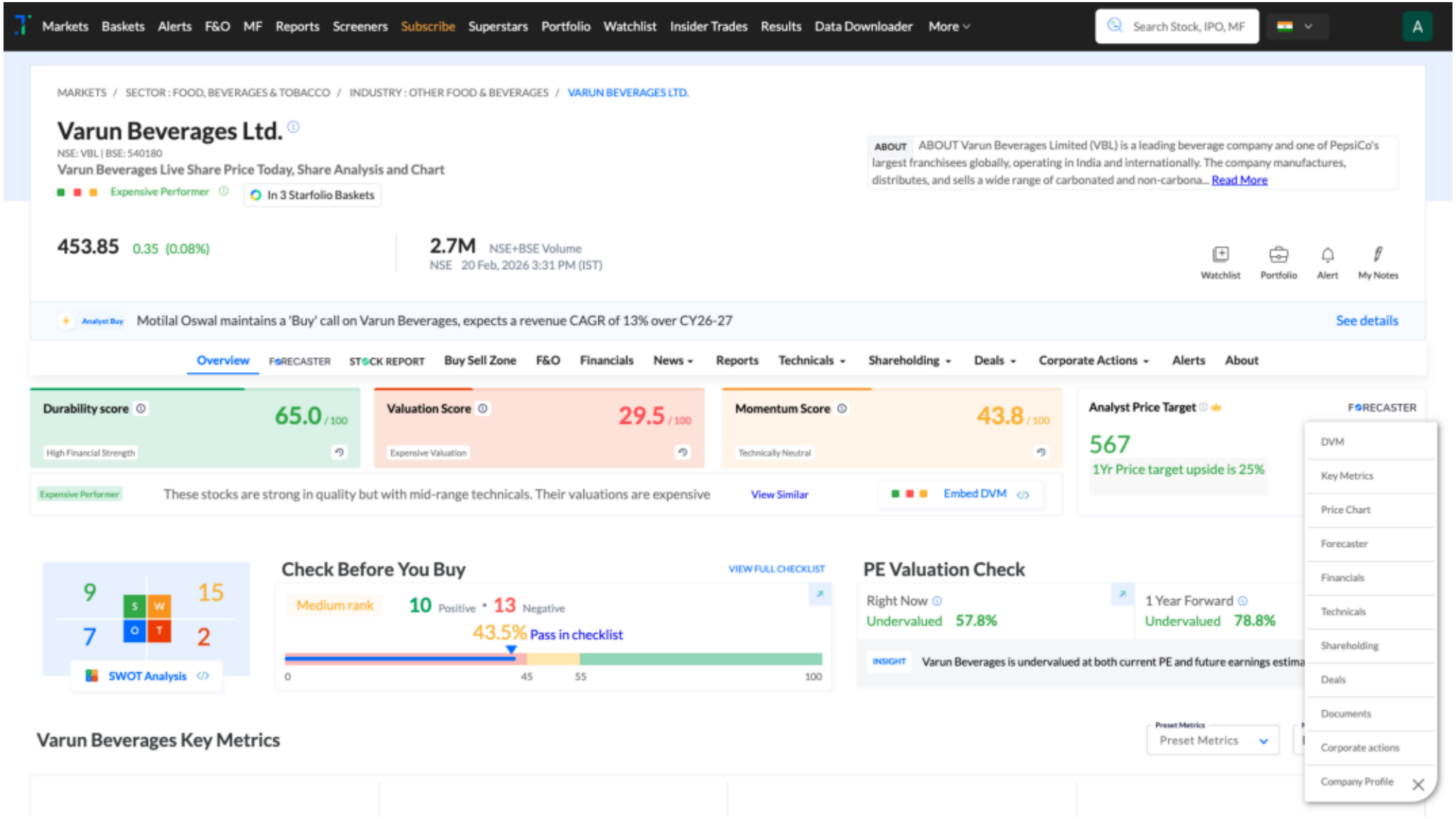
Timeframe	Trend	Momentum	Signal
1 Week	**Bearish**	Strengthening	No Signal
1 Day	**Bullish**	Weakening	No Signal
15 Min	**Bullish**	Weakening	No Signal


VBL.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
700
600
500
400
300
200
100
0
2016-11-07
2017-10-09
2018-09-10
2019-08-12
2024-03-18
2025-02-17
2026-01-19


VBL.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
650
600
550
500
450
2024-02-22
2024-05-09
2024-07-22
2024-09-30
2025-09-24
2025-12-05
2026-02-16

VBL.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
500
480
460
440
12-24
12-30
01-05
01-09
01-16
01-22
01-29
02-05
02-11
02-16
02-20

Trendlyne Snapshot - VBL_main



Trendlyne Snapshot - VBL_forecaster

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MARKETS / SECTOR : FOOD, BEVERAGES & TOBACCO / INDUSTRY : OTHER FOOD & BEVERAGES / VARUN BEVERAGES LTD.

Varun Beverages Ltd.

NSE: VBL | BSE: 540180

Expensive Performer

In 3 Starfolio Baskets

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453.85 0.35 (0.08%)

2.7M NSE+BSE Volume

NSE 20 Feb, 2026 3:31 PM (IST)

Watchlist Portfolio Alert My Notes

Analyst Buy Motilal Oswal maintains a 'Buy' call on Varun Beverages, expects a revenue CAGR of 13% over CY26-27 See details

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Varun Beverages - VBL - stock price prediction, stock forecast, target price, analyst ratings from 26 analysts

Varun Beverages has a share price target of Rs 567, revenue growth forecast of 13.9%, and profit growth estimate of 12.6% for FY26, based on top 26 analyst calls.

Varun Beverages FORECASTER - Analyst Estimates

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